

- Is there a need in my neighborhood for a martial arts studio?
- What are existing martial arts studios doing wrong that I could do better?
- What improved value do I offer the martial arts student?
- What assets do I bring to this community?

Joe failed because there wasn't a genuine need in the marketplace and his motives were selfish. Had Joe analyzed these questions foremost, his odds of driving a successful road would have dramatically improved.

Several years ago, during the economic expansion, I noticed a standalone storefront being built in my mother's neighborhood of Chandler, Arizona, a white, middle-class suburb of Phoenix. As the building went up and the store tenant moved in, the heat of failure percolated. How did I know?

This new store was a hip-hop apparel boutique. Fasten your seat belt here comes failure! Why? The store violates the Commandment of Need. The neighborhood *doesn't need* a hip-hop store. The area isn't urban, there are no dance clubs nearby, and nothing looks remotely hip-hop. In fact, not 100 yards away there is an eldercare retirement home. Is a 91-year-old grandpa the target market for hip-hop gear? The obvious problem here is selfishness. The owner is following his passions, and his love for hip-hop music and culture. Maybe a life coach told him to "do what you love." Whatever the motive, the need is internal and not externally based on the marketplace. I predicted the business would last 12 months. After 18 months, the business disappeared. The road was paved with sand because no need existed.

MONEY CHASERS CHASE MONEY, NOT NEEDS

Frequently I read posts from aspiring entrepreneurs with grandiose goals of making a fortune by starting a business. Hang out at any business forum and you will see the misdirected, selfish foundation poisoning the well.

- How can I make money starting a business?
- What business can I start with \$200 and still make \$5k per month?
- What home-based business can I start?
- I have a friend who manufactures widgets; you think I can make money selling them?
- How can I make a passive income?
- What's a good product to sell on eBay?
- What's the best business to start on a shoestring?

If you sit around and ask yourself these types of questions, you'll likely end in the failure category because these dialogues expose your preoccupation with money, and not needs or value. You've got it backward! I call these entrepreneurs "money-chasers." They hop from one business to the next, scalping and arbitraging